

World War I had taken a serious toll on the railway system and, as immediate government attention was drawn to the forthcoming expiration of the contract with the East Indian Railway (EIR) in 1919, the debate regarding State versus corporate management of the rail networks began to take centre stage. The Government, however, was unclear about the future railway policy in India and the company's contract was temporarily extended up to 1924 even as the case was referred to a representative committee for further examination.

The committee

On 1 November, 1920, railway economist and barrister-at-law Sir William Acworth was appointed chairman of a 10-member railway committee. Of the 10, three were British with no prior knowledge about India, three others had substantial experience with the railways in the country, and three were Indians to represent the native population's commercial interests.

VS Srinivasa Sastri was a member of the Council of State from 1920 to 1925, Sir Rajendra Nath Mookerjee was a Calcutta-based industrialist, and Sir Purshotamdas Thakurdas was a Bombay-based cotton trader. Sir Henry Ledgard of Cawnpore (modern-day Kanpur) was appointed to represent the European business community in India.

Creating guidelines

Apart from direct State management, other options on the table were direct management; management through a company domiciled in Europe, with a Board in London; management through a company domiciled in India, with a Board in India; and management through a combination of the last two. The committee was asked to examine the relative advantages of the various systems of management. It was also asked to assess the role and composition of the Railway Board and the system of government control over administration, rates and fares, and the machinery for settling disputes between railways and traders. It had to examine the financial policy, "and in particular the feasibility of the greater utilization of private enterprise and capital in construction of new lines".